

Contractual Recognition Of Bail-In

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to a _BRRD undertaking_ which is:

1. (1) a _CRR firm_ ;
2. (2) a _financial holding company_ ;
3. (3) a _mixed financial holding company_ ;_or_
4. (4) a _mixed activity holding company_ which has at least one _subsidiary_ which is an _institution_ which is not the _subsidiary_ of a _financial holding company_ which is also a _subsidiary_ of the _mixed activity holding company_.

1.1A

[Deleted.]

1.2

In this Part, the following definitions shall apply:

debt instrument

means any form of transferable debt security or instrument, whether registered or bearer, including commercial paper, bills of exchange, bankers acceptances, certificates of deposit and bonds, including _additional tier 1 instruments_ and _tier 2 instruments_.

excluded liability

means any _liability_ listed in section 48B(8) of the Banking Act 2009 except, in respect of _liabilities_ created after 31 July 2016, a _liability_ shall not be regarded as secured for the purposes of section 48(B)(8)(b) of the Banking Act 2009 if, at the time at which it is created, it is not a _fully secured liability_.

fully secured liability

means a _liability_ which, at the time it is created, is fully secured and governed by contractual terms that oblige the debtor to maintain the _liability_ fully collateralised on a continuous basis in compliance with regulatory requirements of _UK_ law or of the law of a _third country_ achieving effects that can be deemed equivalent to _UK_ law.

liability

means any debt or liability to which the _BRRD undertaking_ is subject, whether it is present or future, certain or contingent, ascertained or sounding only in damages.

mandatory reduction provision

has the meaning give in section 6B(2) of the Banking Act 2009.

material amendment

means an amendment to an agreement, including an automatic amendment, which affects the substantive rights and obligations of a party to the agreement. Amendments which are not **_material amendments_** include a change to the contact details of a signatory or the addressee for the service of documents, typographical changes to correct drafting errors or automatic adjustment to interest rates.

micro, small and medium-sized enterprises

means micro, small and medium-sized enterprises as defined with regard to the annual turnover criterion referred to in Article 2(1) of the Annex to Commission Recommendation 2003/361/EC, taking into account all other provisions in the Annex to Commission Recommendation 2003/361/EC relevant to calculation of that criterion (including any relevant data from partner enterprises or linked enterprises in accordance with Article 3).

phase two liability

means an **_unsecured liability_** that is not a **_debt instrument_**.

special bail-in provision

has the meaning given in section 48B(1) of the Banking Act 2009.

unsecured liability

means

1. (1) in respect of **_liabilities_** created on or before 31 July 2016, a **_liability_** under which the right of the creditor to payment or other form of performance is not (i) secured by a charge, pledge, lien or mortgage, or (ii) subject to other collateral arrangements, including **_liabilities_** arising from repurchase transactions and other title transfer collateral arrangements; and
2. (2) in respect of **_liabilities_** created after 31 July 2016, a **_liability_** that is not a **_fully secured liability_**.

1.3

Unless otherwise defined, any italicised expression used in this Part and in the **_CRR_** has the same meaning as in the **_CRR_**.

2**Contractual Recognition of Bail-in****2.1**

Except in the circumstances described in 2.1A a **_BRRD undertaking_** must include in the contract governing a **_liability_** a term by which the creditor or party to the agreement creating the **_liability_** recognises that the **_liability_** may be subject to the exercise of a power by the Bank of England to make **_special bail-in provision_** or **_mandatory reduction provision_** and agrees to be bound by any reduction of the principal or outstanding amount due or by any conversion or cancellation effected by the exercise of that power, provided that such **_liability_** is:

1. (1) not an **_excluded liability_** ;
2. (2) not an **_excluded deposit_** ;

3. (3) governed by the law of a _third country_ ; and
4. (4) a liability of a type described in 2.3.

[Note: Art. 55(1) (part) of the _BRRD_]

2.1A

The inclusion of a contractual term in a contract is not required by this Part in respect of any _phase two liability_ where it would be impracticable for the _BRRD undertaking_ to include it in respect of that _phase two liability_.

2.1B

Subject to 2.1C, the requirement in 2.1 shall not apply where the contract:

1. (1) was made before _IP completion day_ ; and
2. (2) is governed by the law of an _EEA State_.

2.1C

Notwithstanding 2.1B, the requirement in 2.1 shall apply to a contract referred to in 2.1B from the time of any _material amendment_ to the contract made on or after _IP completion day_.

2.2

In respect of a _liability_ to which 2.1 applies that is:

1. (1) an _additional tier 1 instrument_ ; or
2. (2) a _tier 2 instrument_ ,

a _BRRD undertaking_ that is a _CRR firm_ must provide to the _PRA_ a properly reasoned independent legal opinion from an individual appropriately qualified in the relevant _third country_ on the enforceability and effectiveness of the term required by this Part.

2.3

A _liability_ in 2.1(4) is:

1. (1) a _liability_ (other than a _liability_ under a _debt instrument_) created after 31 December 2015, regardless of whether it is created under an agreement entered into on or before 31 December 2015 (including under a master or framework agreement between the contracting parties governing multiple _liabilities_);
2. (2) a _liability_ (other than a _liability_ under a _debt instrument_) created on or before 31 December 2015 if the agreement governing the _liability_ is subject to a _material amendment_ after 31 July 2016;
3. (3) a _liability_ under a _debt instrument_ issued on or after 19 February 2015;
4. (4) a _liability_ under a _debt instrument_ issued before 19 February 2015 which is subject to a _material amendment_ after 31 July 2016.

3

Contractual Recognition of Bail-In ? Transitional Provisions (Deleted)